



Figure 48.5 Here's a quick way to lose money trading a pennant.

Here's my notebook entry for the trade: “6 February 2004. I bought, filled at 30.30 and 30.39. This is an earnings flag trade. I waited for a retrace because of a weak general market. Price may retrace further, but I expect a renewed climb.

“Downside is 50% retrace to 27.50—28. That is also the site of the August–November 2003 peaks. Expect a rise to 35. This could stall at 34 according to point and figure chart. At 35, this goes up against a long-term down trendline from the March, July peaks in 2000. According to the 1-2-3 trend change rule, the stock is poised to move up. It pierced the down trendline [1], retested the low [2], and is now breaking out to new highs [3].”

I bought at C, the day the stock broke out upward from the pennant, or what would become a pennant (shown as the two diagonal and converging trendlines). I may have thought the 3-day move after B formed the pennant. If that was the case, the pennant broke out downward, reversed, and busted the downward breakout at C.

A week later, I was scribbling in my notebook again: “12 February 2004. The Dow [industrials] was up 123 points yesterday, and this stock hardly moved. Today, it has broken out downward from a pennant. Time to cut the